Breakout volume is usually high as it pushes price above the neckline. As a general guideline, volume will rise on the day of the breakout, but it need not. Don't discard a pattern because it has an unusual volume pattern.

Neckline. The neckline is an imaginary line connecting the two rises between the shoulders and the head. It can slope downward, upward, or be horizontal. In well-formed patterns, the slope of the line is not very steep, but a steep neckline should not be a disqualifier of a head-and-shoulders bottom (Figure 39.1 has a rather steep neckline).

Breakout direction. When price closes above a down-sloping trendline or above the right armpit (the highest high between the head and right shoulder), that occurrence signals an upward breakout. Use the right armpit as the breakout price instead of an up-sloping neckline because you may get a buy signal sooner. You may never get a signal in a head-and-shoulders bottom with a steep up-sloping neckline.

Confirmation. The pattern confirms as valid when price closes above the neckline or right armpit. If price closes below the head, then it's not a head-and-shoulders bottom.

Focus on Failures

Head-and-shoulders bottoms have two types of failures. The first type, shown in **Figure 39.4**, is a failure of the head-and-shoulders bottom to pierce the neckline and move higher. As you would expect, the chart pattern appears in a downward price trend. The highest price peak is partly visible in the upper-left corner of the figure. From the high of 38.75, price falls to the low at the head, 21.25, a decline of 45%. When the bottom forms, it should signal a trend reversal.

An interesting thing about this example is that the left shoulder is almost the same shape as the right. Only a dollar separates the two shoulder lows, and the head is well below both shoulder valleys. The right shoulder is somewhat farther away from the head than the left. This characteristic is typical.